THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

Road No. 5, VKIA, Jaipur — 9887258679

ANSWER KEY & MARKING SCHEME SET 1

Chapter 2: **The Price Puzzle (Economics)** | Class 9 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(b)** quantity demanded equals quantity supplied	Market cleared
2	**(b)** slopes downward	Price and quantity move oppositely
3	**(c)** slopes upward	Higher price, higher supply
4	**(a)** TRAI	Telecom regulator
5	**(d)** demand surged faster than supply	Pandemic
6	**(c)** fall	Postponed purchase
7	**(a)** excess supply	Surplus
8	**(b)** demand and supply keep changing	Dynamic markets
9	**(b)** price ceiling	Upper limit
10	**(a)** equilibrium price	Qd = Qs

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Accumulating goods beyond need (1); Done on fear of shortage or expected price rise (1).	1+1
12	Substitutes replace each other, e.g. tea and coffee (1); Complements are used together, e.g. printer and cartridge (1).	1+1
13	RBI - banking (1); SEBI - securities market (1).	1+1
14	A person enjoys a public good without paying (1); Too little money is raised (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Individual demands at each price are added (1); At Rs 150: 1+2+3 = 6 kg (1); At Rs 50: 3+6+9 = 18 kg (1).	1+1+1
16	Demand surged in 2020 (1); Supply could not rise quickly, so price rose (1); Later supply adjusted and prices fell (1).	1+1+1
17	Income of consumers (1); Taste and preference (1); Prices of related goods (1).	1+1+1
	OR: Higher price means higher profit (1); Existing firms produce more (1); New firms enter (1).	1+1+1
18	Demand rises in tourist season and festivals (1); Cancellations cut demand (1); Hotels aim to maximise revenue (1).	1+1+1
	OR: Weather and festivals shift demand (1); Sweaters in winter (1); Sweets at festivals (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	Rs 40: Qd 38, Qs 6 excess demand (1); Rs 100: Qd = Qs = 12 equilibrium (1); Rs 150: Qd 8, Qs 43 excess supply (1); Price adjusts toward equilibrium (1); Intersection of demand and supply curves (1).	1+1+1+1+1
	OR: Regulates unfair practices (1); Price ceilings and floors (1); Checks monopoly and hoarding (1); Provides public goods (1); Regulators like RBI, SEBI, TRAI, CCPA (1).	1+1+1+1+1
20	Price and supply move together (1); Price of related goods (1); Number of sellers (1); Technology (1); Future expectations and input costs (1).	1+1+1+1+1
	OR: Off-season weekday Rs 1,500 (1); Weekend season Rs 8,000 (1); New Year Rs 25,000 (1); Group cancels: 40 per cent cut (1); Objective: maximise revenue (1).	1+1+1+1+1

Mistakes to avoid:

- Do not confuse a **movement along** a demand or supply curve (caused by a change in the good's own price) with a **shift** of the curve (caused by income, tastes, related goods, technology, etc.).
- Excess demand = shortage (price below equilibrium); excess supply = surplus (price above equilibrium). Students often reverse these.
- Substitutes (tea and coffee) move in the same direction of demand when the price of the other changes; complements (smartphone and earphones) go together. Do not interchange them.
- A price ceiling is a **maximum** price and a price floor (e.g. minimum wage) is a **minimum** price; a floor below equilibrium or a ceiling above equilibrium has no effect.
- Market demand is the **sum** of all buyers' demands at a price (e.g. 1 + 2 + 3 = 6 kg); write the values for the same price, not different prices.

- In the real world equilibrium is not stable because demand and supply keep changing (pandemics, weather); the regulators are RBI (banking), SEBI (securities), TRAI (telecom) and CCPA (consumers).

Evaluator's note: Award step marks as shown; accept any correct alternative method. In internal-choice questions, evaluate only the option attempted. Deduct up to ½ mark for missing units or figures where required.

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ANSWER KEY & MARKING SCHEME SET 2

Chapter 2: **The Price Puzzle (Economics)** | Class 9 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(d)** complements	Used together
2	**(c)** increases demand for most goods	Higher purchasing power
3	**(b)** increase market supply	Competition
4	**(a)** rises	Shortage
5	**(a)** falls	Surplus
6	**(a)** willing and able to buy at a price	Needs purchasing power
7	**(d)** the sum of the supplies of all sellers	Add seller supplies
8	**(d)** SEBI	Share market regulator
9	**(c)** each extra unit gives less additional satisfaction	Fifth mango
10	**(a)** the sum of the demands of all buyers	Add individual demands

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Minimum price allowed (1); E.g. minimum wage (1).	1+1
12	Maximum price allowed by law (1); E.g. cap on price of sanitiser or medicines (1).	1+1
13	A single seller controlling the supply (1); No close substitute (1).	1+1
14	Where demand equals supply (1); No shortage or surplus (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Higher price lowers quantity demanded (1); Lower price raises it (1); Marginal utility also diminishes (1).	1+1+1
16	Extra satisfaction from each additional unit falls (1); First mango is very pleasant (1); Fifth gives little, so willingness to pay falls (1).	1+1+1
17	How simple it is to start, run and close a business (1); Depends on rules and efficiency (1); Too many licences hurt it (1).	1+1+1
	OR: Demand surged and prices soared (1); Hoarding and black marketing appeared (1); Declared essential, price capped at Rs 100 for 200 ml (1).	1+1+1
18	Stops overcharging in emergencies (1); Keeps goods like sanitisers affordable (1); Long use can cut supply incentives (1).	1+1+1
	OR: Lowers cost of production (1); Output rises at each price (1); E.g. drip irrigation or cold storage (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	Extra satisfaction falls with each unit (1); First mango most valued (1); Willingness to pay falls (1); So buyers buy more only at lower price (1); Gives downward-sloping demand (1).	1+1+1+1+1
	OR: RBI for banks (1); SEBI for securities (1); TRAI for telecom (1); CCPA for consumer rights (1); Price ceilings and floors for fairness (1).	1+1+1+1+1
20	Price of related goods: substitutes and complements (1); Income (1); Taste and preference (1); Population and seasonality (1); Expected future prices (1).	1+1+1+1+1
	OR: Srivalli 1, 2, 3 kg at Rs 150, 100, 50 (1); Alex 2, 4, 6 kg and Israt 3, 6, 9 kg (1); Market demand is the sum: 6, 12, 18 kg (1); Market curve is flatter (1); Downward sloping (1).	1+1+1+1+1

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ANSWER KEY & MARKING SCHEME SET 3

Chapter 2: **The Price Puzzle (Economics)** | Class 9 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(a)** rises	Direct relation
2	**(b)** seasonality	Weather effect
3	**(d)** monopoly	Single seller
4	**(a)** excess demand	38 > 6
5	**(b)** demand schedule	Individual schedule
6	**(d)** black marketing	Illegal market
7	**(a)** excess demand	Shortage
8	**(d)** 18 kg	3+6+9
9	**(c)** Essential Commodities Act, 1955	Emergency price control
10	**(b)** price floor	Lower limit

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Quantity people are willing and able to buy at a price (1); Desire without purchasing power is not demand (1).	1+1
12	A table of prices and quantities demanded (1); Plotted, it gives the demand curve (1).	1+1
13	Quantity supplied rises as price rises (1); Higher price brings more profit (1).	1+1
14	Quantity demanded falls when price rises (1); Rises when price falls, other things constant (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	No direct profit (1); Users cannot easily be charged (1); So the government provides them (1).	1+1+1
16	At Rs 40, Qd 38 > Qs 6, excess demand (1); At Rs 150, Qs 43 > Qd 8, excess supply (1); Price moves toward Rs 100 (1).	1+1+1
17	Price distortions (1); Compliance burden on small firms (1); Discourages innovation (1).	1+1+1
	OR: Shortage pushes price up (1); Surplus pulls price down (1); Stops where Qd = Qs (1).	1+1+1
18	To prevent exploitation (1); To control monopolies and hoarding (1); To keep essentials affordable (1).	1+1+1
	OR: Technology (1); Number of sellers (1); Price of related goods (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	Technology, weather, wars, pandemics change demand and supply (1); Mask demand surged in 2020 and later fell (1); Hotels change tariffs by season and event (1); Market keeps moving to new equilibrium (1); Today's choices affect future supply (1).	1+1+1+1+1
	OR: Demand surged and stock ran out (1); Hoarding and black marketing (1); Essential Commodities Act, 1955 (1); Price capped at Rs 100 for 200 ml (1); Supply increased; control for emergencies (1).	1+1+1+1+1
20	Schedule of Rs 150, 100, 50 and quantities 1, 2, 3 kg (1); Plotted with price on y-axis (1); Downward-sloping curve DD' (1); Inverse price-quantity relationship (1); Other factors assumed constant (1).	1+1+1+1+1
	OR: Roads, parks and street lights (1); Non-excludable (1); Free riders do not pay (1); Private firms lack profit motive (1); Government provides (1).	1+1+1+1+1

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